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WHEN THE Reserve Bank of India (RBI) removed YES Bank founder, MD & CEO Rana Kapoor, Ravneet Gill took over as the CEO in March 2019. Unaware of the depth of the problem, Gill, a former Deutsche Bank executive, completely underestimated the stressed portfolio, with non-performing assets (NPAs) exceeding estimates quarter after quarter. He failed to raise the much-needed capital.

Within a year, the RBI superseded the board and roped in State Bank of India, the country's largest bank, and some private banks to pump in additional capital. But six years later, this mid-sized private bank is yet to regain pre-crisis returns, with full recovery still years away.

Another old private sector bank, RBL Bank, faced a similar crisis in 2021 as CEO Vishwavir Ahuja, a Bank of America professional who turned around the small-sized bank, abruptly exited amid RBI intervention over rising NPAs. A new public sector CEO, R. Subramaniakumar, stabilised operations, but even after more than three years, shareholder returns are still below pre-crisis levels.

Much like YES Bank and RBL, private lender IndusInd Bank finds itself at a crossroads. Its troubles came to light on March 10, when the bank disclosed discrepancies in its derivatives portfolio. That caused a 2.35% erosion in its net worth.

Then, problems were identified in the microfinance portfolio, where misclassification resulted in under-provisioning and non-recognition of NPAs of ₹1,885 crore. This triggered a chain of events that resulted in the unceremonious exit of MD & CEO Sumant Kathpalia. The situation is volatile with key exits like those of the Deputy CEO and CFO. Lacking an internal successor, the bank's board has shortlisted three external candidates for the MD & CEO position: Anup Saha, MD of Bajaj Finance; Rajiv Anand, Deputy MD of Axis Bank; and, Rahul Shukla, Group Head-Commercial and Rural Banking of HDFC Bank. RBI requires a ranked panel of two candidates but can reject both and seek a fresh list, as seen in past cases.

While the new management team is still months away, it is

evident from what transpired at YES Bank and RBL that it takes years to rebuild trust once lost. "The initial years are often spent on establishing a new leadership team and ensuring its stability, overhauling the mid-level organisational structure, implementing a new business model focused on sustainable and less risky assets, adopting a tighter credit assessment framework, and introducing new systems and processes with a strong emphasis on compliance and risk management," says a former banker.

YES Bank and RBL Bank are still struggling to regain past glory due to a shift towards low-yield, secured lending. In fact, there could be more surprises in the form of new disclosures and additional provisioning like what happened at YES Bank. "Given the recent governance lapses, undisclosed risks may persist. A new CEO should mandate independent stress tests and forensic audits to uncover potential asset quality issues, off-balance-sheet risks or compliance gaps," says Atul Parakh, CEO of Bigul, a next generation algo-trading investment platform. (See Box: *The Task for the New CEO*)

There are already serious concerns, including accounting lapses, compliance failures, insider trading, and potential fraud—an ex parte interim order by the Securities and Exchange Board of India (Sebi) has already banned five senior executives, including Kathpalia and ex-Deputy CEO Arun Khurana, from participating in the securities markets.

In a recent note, Nuvama Research said the new CEO will have to tighten internal controls, strengthen governance and likely rebalance the asset mix. "Proactively addressing legacy underwriting practices and

₹1,885

CRORE

**UNDER-PROVISIONING
AND NON-RECOGNITION
OF NPAs BECAUSE OF
MISCLASSIFICATION IN
MFI PORTFOLIO**

₹5.5

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**BALANCE SHEET SIZE OF
INDUSIND BANK, UP 53%
SINCE FY21**